Ministry of Housing, Communities & Local Government

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Council Leaders in Gloucestershire
By email

29 October 2026

Dear Leaders,

I am writing to set out the outcome of the Government's review of the framework for the local government reorganisation programme and, separately, the Secretary of State's current provisional view on the proposals for local government reorganisation in Gloucestershire.

We are grateful for all the work that went into developing proposals and preparing for implementation, and for the patience you have shown throughout this process. We recognise that the review period has not been easy, and do not take for granted your continued commitment to the long-term work needed to fix the foundations and put local government in the best possible position.

Outcome of the programme review

Following the announcement to Parliament on 7 September 2026, the Secretary of State and I have worked with officials to interrogate the key pillars and framework underpinning the Local Government Reorganisation programme, including asking whether the existing unweighted criteria ('criteria') set in February 2025 and the programme's objectives continue to support the policy priorities of the new Government.

We have concluded that the basis of the programme is robust and that the existing criteria against which proposals have been submitted were both correct on their own terms and continue to support the Government's policy agenda. Following this initial phase of the review, we can therefore confirm that the Government remains committed to delivering Local Government Reorganisation and that we will continue to move forward with the programme based on the existing criteria, which we hope gives confidence as the programme progresses.

Minded to decision for Gloucestershire

Separately from the programme-level review, the Secretary of State and I, in my capacity as Minister for Local Government, Devolution and Regional Growth, are currently minded to implement the **one unitary proposal submitted by Cotswold District Council, Gloucestershire County Council, Stroud District Council and Tewkesbury Borough Council**. That proposal would establish the following new council with elections in May 2028, ahead of vesting in April 2029:

Proposed new council	Existing local government areas forming proposed new council (excluding county council)	Current population
Gloucestershire	Cheltenham Borough Council Cotswold District Council Forest of Dean District Council Gloucester City Council Stroud District Council Tewkesbury Borough Council	659,000

Consideration of the proposals

This letter sets out our consideration of the performance of each proposal and option against the criteria and the reasons why we are currently minded to select the preferred proposal. Where relevant, we have also set out areas where we are seeking further information before reaching a final decision. Further detail of the minded to process is set out at the end of this letter.

We have considered the proposals and option received from councils in Gloucestershire:

- **The one unitary proposal from Cotswold District Council, Gloucestershire County Council, Stroud District Council, and Tewkesbury Borough Council ('one unitary')**
- **The two unitary proposal from Cheltenham Borough Council ('two unitary (Cheltenham)')**
- **The two unitary option with boundary change from Gloucester City ('two unitary (Gloucester City)')**

We have assessed each submitted proposal and option against the six criteria and considered their strengths and weaknesses before reaching this minded to decision.

The proposals and option all met all six criteria.

Criterion 1: A proposal should seek to achieve for the whole of the area concerned the establishment of a single tier of local government

The one unitary proposal meets criterion 1.

Gloucestershire has unique economic areas and geography with Gloucester and Cheltenham in close proximity. The one unitary proposal aligns with existing functional urban areas and provides a balanced configuration and a coherent geography for Gloucestershire as a whole. It would bring the Gloucester-Cheltenham growth corridor and the Golden Valley cyber cluster within one council. Under one unitary, there would be a single functional area across Gloucester, Cheltenham, Tewkesbury and Stroud, where most developable land and strategic housing sites are located. In this specific case we judge that one council would therefore be best placed to attract investment and coordinate housing delivery, especially as we have yet to determine the final devolution proposals for the region. The one unitary would allow one council to plan housing, transport and infrastructure together across that area and provide a more sensible geography to help increase housing supply.

Turning to the other proposal and option, which also both meet criterion 1, both the two unitary proposal and option would allow planning and services to be tailored to local needs and identities, which are comparative advantages of both the other proposal and option. However, unlike the one unitary proposal, both the two unitary proposal and option would divide the single economic and housing market area across Gloucester, Cheltenham, Tewkesbury and Stroud. Given the proximity of

Gloucester and Cheltenham, we consider that this split would undermine their closely connected economic areas hindering potential growth across the region and complicate housing delivery.

Criterion 2: Unitary local government must be the right size to achieve efficiencies, improve capacity and withstand financial shocks

The one unitary proposal meets criterion 2.

We consider that there are benefits in terms of scale and resilience to the one unitary authority with a population size of 659,000 justified in the proposal on the basis of service delivery and financial resilience. We do, however, recognise there are also disadvantages to an authority of this size, for instance in not always being seen as close enough to the communities served by the council. Given the specific local circumstances in Gloucestershire and the economic area considerations outlined above against criterion 1, we consider that the benefits of an authority this size just offset the disadvantages though this is a finely balanced judgement.

We have distinguished projected efficiencies from longer term financial sustainability. Our internal analysis found the one unitary proposal is considered most likely to deliver the greatest savings in the shortest timeframe. This conclusion is qualified by limitations in the completeness of financial modelling across all proposals and option. We treated the estimates within the proposals and option as indicative and while a clear consideration, we did not treat them as definitive or directly comparable.

Our internal analysis found that the other proposal and option also met this criterion and both proposals and the option would be likely to improve financial sustainability compared with the existing arrangements, with the one unitary proposal performing best. Although this does not validate the submitted efficiency estimates, its greater scale and avoidance of service disaggregation provide us with greater confidence that the one unitary would improve financial sustainability.

Turning to the other proposal and option, for the two unitary (Cheltenham) proposal, we consider that this would create fairly well-balanced populations in terms of size, with each authority centred on an urban hub which could support growth around both Cheltenham and Gloucester. However, we remain concerned about the long-term financial impact of breaking up the Cheltenham-Gloucester growth corridor outlined against criterion 1 and establishing a western authority with greater levels of service demand.

The two unitary (Gloucester City) option would create an expanded Gloucester City surrounded by a remaining county authority. A Gloucester-focused authority could support growth around the only city in Gloucestershire.

Both the two unitary proposal and option involve dividing existing county-wide service arrangements. We expect this would increase transition costs with more changes to service delivery across education, social care, health and wider partnerships. Costs would potentially be higher due to disaggregation with a boundary change in the two unitary (Gloucester City) option. While we are confident that in these circumstances these costs could be managed, we have considered that avoiding disaggregating countywide services lowers transition costs in coming to our decision.

Criterion 3: Unitary structures must prioritise the delivery of high quality and sustainable public services to citizens

The one unitary proposal meets criterion 3.

Given Gloucestershire has established alignment of key public services and already runs an integrated service delivery model, including for social care, education and health, we consider that the one unitary proposal will better preserve this alignment of key public services, by allowing continued operation on the same geographic footprint. The one unitary would support system-wide planning, integrated

discharge pathways and consistent adult social care provision, given most NHS emergency and elective activity draws from across Gloucestershire. The one unitary would also support effective delivery of schools, safeguarding and strategic delivery of joint services for SEND, noting that learners and providers operate across Gloucestershire.

Turning to the other proposal and option, which also both meet criterion 3, both offer benefits from having smaller councils that are closer to their local communities and can design and deliver high-quality public services tailored to local needs. We consider these to be distinct strengths of the other proposal and option and could provide a platform to deliver high-quality public services. However, unlike the one unitary proposal, both would split existing countywide service arrangements. Under the two unitary (Cheltenham) proposal, we are concerned about the sustainability of adults' and children's services, particularly in the proposed western authority. It would face greater financial pressure and higher demand pressures associated with disability and homelessness than the proposed eastern authority. Under the two unitary (Gloucester City) option, dividing countywide services would create risks for education, social care, health and wider partnerships, as well as joint planning for transport and housing. The proposed boundary change would make dividing these services more complex. On balance, we judge that the benefits of locally tailored services do not outweigh the risks of splitting the current aligned service delivery models across Gloucestershire. This assessment is shaped by the specific local circumstances and current highly aligned nature of Gloucestershire's service delivery.

Criterion 4: Proposals should show how councils in the area have sought to work together in coming to a view that meets local needs and is informed by local views

The one unitary proposal meets criterion 4.

We note that the two unitary (Cheltenham) proposal, which also meets this criterion, and the one unitary proposal were developed collaboratively with extensive countywide resident and stakeholder input, though the one unitary had more council support from across Gloucestershire. Turning to the other option, the two unitary (Gloucester City) option also meets the criterion though was developed in isolation from the other councils and was informed by more limited engagement activity.

We are grateful to all seven councils in the area for their ongoing collaborative working throughout the reorganisation process.

Criterion 5: New unitary structures must support devolution arrangements

The one unitary proposal meets criterion 5.

The one unitary proposal and the two unitary (Gloucester City) option, which also meets criterion 5, both support participation in future devolution arrangements, albeit on a whole Gloucestershire basis. This does limit flexibility, which could be a drawback as devolution arrangements are finalised. By contrast, the two unitary (Cheltenham) proposal, in meeting this criterion, could provide greater flexibility and be a similar size to existing neighbouring unitaries should future devolution arrangements emerge across different geographies, which provides distinct strengths for this proposal against this criterion.

Criterion 6: New unitary structures should enable stronger community engagement and deliver genuine opportunity for neighbourhood empowerment

The one unitary proposal meets criterion 6.

The one unitary proposal and the two unitary (Cheltenham) proposal, which also meets criterion 6, were jointly developed. Both proposals would establish Neighbourhood Partnerships with freedom to set their own agendas and priorities, supported by staff and delivery budgets. These partnerships would be designed with communities, alongside councillor-led local structures and stronger roles for towns and parishes. This approach would support strong community engagement and give neighbourhoods more

influence. The proposed community engagement and neighbourhood empowerment arrangements are especially important for the one unitary proposal given its scale. We consider that the arrangements would allow communities to shape local services across that larger council area and provide a strong basis for community engagement and empowerment. We judge that this addresses some of the concerns raised in the consultation about the one unitary council's size and the impact on community connection, noting that this is still a relatively large council which will need to take into account the importance of local need, identity, and character of all parts of the new local authority area.

Turning to the other option, which also meets criterion 6, a smaller council under the two unitary (Gloucester City) option could have advantages in connecting with the Gloucester City community. This option would place decisions at neighbourhood level and organise services around local communities, with councillors acting as community leaders and linking residents to the new council. We consider this a positive approach to neighbourhood empowerment.

It is important to note that the English Devolution and Community Empowerment Act 2026 requires all councils in England to make appropriate arrangements for effective neighbourhood governance in neighbourhood areas, with the Secretary of State able to make further provisions on those arrangements through regulations. Local government reorganisation provides an opportunity to embed this approach from the outset. Effective neighbourhood governance can help ensure that, within larger unitary structures, communities retain a strong local voice, are able to influence decisions affecting their area, and see their distinct identities and priorities reflected in how the new councils operate. We will publish a Neighbourhood Governance Framework later this year, which will provide new councils with some high-level principles to consider.

Conclusion

For the reasons set out above and considering the proposals' and option's performance against the criteria in the round, the Secretary of State is currently minded to proceed with the **one unitary proposal submitted by Cotswold District Council, Gloucestershire County Council, Stroud District Council and Tewkesbury Borough Council**. The Secretary of State currently regards several factors as weighing particularly strongly. The opportunity to place Gloucestershire's closely connected economic and housing market area, including the Gloucester-Cheltenham growth corridor and Golden Valley cyber cluster, within one council to coordinate housing, transport, infrastructure and investment across the area (criterion 1). The greater scale, financial resilience and stronger overall financial position, together with the avoidance of costs and risks associated with dividing existing countywide services (criterion 2). The preservation of Gloucestershire's established alignment of social care, education, health and wider public services on a single geographic footprint (criterion 3).

We have measured those advantages against the opportunities offered by the two unitary proposal and option to tailor economic strategies and public services more closely to local needs, the potential growth opportunities associated with an expanded Gloucester City under the two unitary (Gloucester City) option or with the two unitary (Cheltenham) proposal, flexibility for devolution arrangements, and the natural advantages that smaller councils can possess for local and community connection when tied to a specific place. We have also recognised the limitations in the financial modelling across all proposals and option and the challenges inherent in maintaining strong community engagement across a larger council area.

Overall, we judge that the one unitary proposal offers a balance across the criteria. In the particular circumstances of Gloucestershire, it provides a basis for coordinating the county's principal economic and housing market area, maintaining integrated public services and partnerships, and supporting long-term financial resilience. While the alternative proposal and option each offer distinct strengths, we do

not consider those advantages sufficient to offset the benefits of a single unitary authority for Gloucestershire.

Status of this provisional view

This letter does not constitute a final decision to implement this or any other proposal.

The conclusions set out above represent the Secretary of State's current provisional view, reached following consideration of the relevant material. Before reaching a final decision, the Secretary of State will consider all representations received in response to this letter together with any other relevant material.

The Secretary of State remains open to reaching a different conclusion following that consideration, including modifying the provisionally preferred proposal further, deciding to implement a different proposal, or deciding not to implement any proposal.

Invitation for representations

Relevant councils and other interested parties will be invited to make representations on the provisional conclusions and reasoning set out in this letter. This representation period will be for a minimum of three weeks. We will confirm the exact timings shortly.

Representations should, where possible, address the provisional conclusions and any specific requests for information identified in this letter. We are grateful for the time already given to prepare and submit proposals, views and supporting evidence. There is no need to reproduce material submitted previously or repeat points that have already been made: that material will remain available to the Secretary of State and I when reaching the final decision.

The previous decision

The Secretary of State has decided to withdraw the decision announced on 16 July 2026 concerning local government reorganisation in Gloucestershire.

The Secretary of State and I are considering the proposals afresh and will reach a new final decision after considering the representations invited by this letter and any other relevant matters.

Statutory process

The Local Government and Public Involvement in Health Act 2007 provides the statutory framework for local government structural change. The statutory process permits the Secretary of State to implement a proposal with or without modification following the required consultation.

If, following the further consideration described in this letter, the Secretary of State decides to implement a proposal, the structural changes would need to be provided for in a structural changes order under section 7 of the 2007 Act, subject to the applicable Parliamentary procedure.

This letter does not itself establish any new council, alter any existing local government boundary or otherwise implement structural change.

Capacity funding and other matters

I recognise that councils have already incurred costs associated with preparing for local government reorganisation and have committed significant time, resource and leadership to this work.

I am pleased to confirm that Gloucestershire will be paid 50% of the £900,000 per new unitary transition support funding. This is equal to £450,000. Grants will be paid in November to the previously confirmed recipient authorities.

When final decisions are made, we will pay the balance of the £900,000 transition support per each new unitary, taking account of funding already paid to its area, as well as £150,000 of supplementary funding per new unitary for Leadership Capacity and Continuity in Children's Services, Adult Social Care and Public Health.

We are setting out further detail in the Written Ministerial Statement on city status and ceremonial matters, and the transition from the committee system.

I am copying this letter to your Chief Executives, MPs and the Police and Crime Commissioner for Gloucestershire.

Yours sincerely,



JIM MCMAHON OBE MP
Minister for Local Government, Devolution and Regional Growth